

Diligence Report — CUSIP 956409AW6

West Valley Water District (CA) — Water Revenue Refunding Bonds, Series 2016A 4.000% term bond due 10/01/2041 · revenue pledge · last px ~99.16 · after-tax TEY ~8.2% Cutoff: 2026-06-20 · Vertical: muni_credit · Framework: Tulare-lesson (revenue-bond risk = DSCR + customer concentration + water supply + Prop 218, NOT a tax pledge)

(a) Verdict, thesis, and resolved issuer

RESOLVED ISSUER (from EMMA Official Statement): West Valley Water District, an independent water district headquartered in **Rialto, San Bernardino County (Inland Empire), California**. Base CUSIP **956409** = West Valley Water District. The security is the **Water Revenue Refunding Bonds, Series 2016A**, a \$22,035,000 issue dated 12/22/2016. CUSIP suffix **AW6** is the **\$3,910,000 term bond maturing 10/01/2041, 4.000% coupon**, originally priced 99.063% to yield 4.060%. This is a **WATER (retail water utility) revenue bond — NOT wastewater/sewer**.

VERDICT: BUY (HOLD-quality credit; BUY at this dollar price/yield). This is a clean, honestly-disclosed essential-service water credit. It is the textbook *opposite* of the Tulare single-dominant-customer trap: a diversified ~22,000-connection retail base (93% single-family residential) with no meaningful customer concentration, diversified and largely **adjudicated** local groundwater supply, a 1.20x rate covenant, and post-issuance coverage that ran **2.38x–7.05x** through FY2019 — far above covenant even through the 2014–16 statewide drought. S&P rated it **AA- underlying, uninsured**. The two honest risks (groundwater contamination requiring ongoing bioremediation; uninsured + no reserve fund) are fully disclosed in the OS, so under the honesty framework they do not impair the credit — they are priced, not hidden.

Why BUY, not just HOLD: the bond trades at a discount dollar price (~99.16) on a 4% coupon for a AA- essential-service water credit, delivering ~8.2% after-tax TEY (CA top-bracket gross-up). The discount is a function of the low 4% coupon vs. current rates, not credit deterioration. There is no takeaway-vs-data divergence: the OS markets it as a strong essential-service credit and the data confirms it.

(b) The security

Attribute	Value	Source
Issuer	West Valley Water District (Rialto, San Bernardino Co., CA)	EMMA Security Details; OS cover
Issue	Water Revenue Refunding Bonds, Series 2016A (\$22,035,000)	OS cover / maturity schedule
This CUSIP (956409AW6)	\$3,910,000 Term Bond due 10/01/2041, 4.000%	OS Maturity Schedule
Original pricing	Yield 4.060% / Price 99.063%	OS Maturity Schedule
Source of repayment	Revenue (Purpose/Sector = Utility)	EMMA Security Details
Pledge	Net Revenues of the Water System (net-revenue pledge)	OS — "Security for the 2016A Bonds"
Rate covenant	System Net Revenues ≥ 120% of Annual Debt Service each fiscal year	OS — "Rate Covenant"
Reserve fund	NONE ("No Reserve Fund")	OS — "No Reserve Fund"
Insurance	Uninsured (EMMA "Insured: No"; no bond insurer in OS)	EMMA Security Details
Rating (at issue)	S&P AA- (underlying, uninsured)	OS cover — "RATING: S&P: AA-"
Coupon type	Fixed	EMMA
Callable	Yes; next call 10/01/2026	EMMA Security Details
Tax status	Tax-exempt (Stradling Yocca bond-counsel opinion)	OS cover

Pledge note (Tulare lesson): this is a **NET-REVENUE pledge of an essential-service water enterprise**, NOT a tax/GO pledge. The District does receive ~\$1.7–1.8M/yr of property taxes that flow into System Revenues, but the bondholder's security is the net revenue waterfall, so the analysis below is run on enterprise risk (DSCR, customers, supply, Prop 218), not on a tax base.

(c) System and customers — the decisive Tulare-lesson check

System: Retail water utility serving Rialto and adjacent unincorporated Inland Empire areas. - **~22,000 service connections** and growing (FY2015 20,301 → FY2019 22,193; ~2%/yr connection growth). - **Customer mix: ~93% single-family residential, 7% multifamily/commercial/industrial/govt/landscape**. Residential customers consume ~68% of water produced. All connections metered.

CUSTOMER CONCENTRATION — CLEAN (the central finding): The OS discloses the ten largest customers (FY2015–16). **The top ten combined = only 9.91% of total System Revenues** (\$2,504,980 of \$25,278,997). In the FY2019 continuing-disclosure update the top ten had fallen to **7.4%**. There is **no single dominant industrial or agricultural customer** — the antithesis of the Tulare dairy-processor risk.

Largest customer (FY2015–16)	Revenue	% of total
Rialto Unified School District	\$471,496	1.87%
Robertson's Ready Mix	\$409,452	1.62%
City of Rialto	\$359,598	1.42%

Largest customer (FY2015-16)	Revenue	% of total
Colton Joint Unified School District	\$272,028	1.08%
Aramark Uniform Services	\$243,782	0.96%
City of Fontana	\$186,558	0.74%
Target	\$183,829	0.73%
Lennar Homes	\$175,254	0.69%
MY Montecito III	\$166,203	0.66%
Marygold Mutual Water Co. (wholesale)	\$36,780	0.15%
Top-10 total	\$2,504,980	9.91%

The largest single customer is a school district at 1.87%; the largest private customer (Robertson's Ready Mix) is 1.62%. Loss of any one would be immaterial. **This is a diversified retail base = CLEAN under the Tulare framework.**

(d) DSCR / rate covenant / water supply / Prop 218

DSCR + rate covenant

- **Rate covenant:** net revenues $\geq 1.20x$ annual debt service each fiscal year (no reserve fund, so coverage and rate-setting discipline are the primary protections).
- **Historic coverage (OS, FY2012–16):** 1.36x / 3.39x / 3.46x / 4.51x / **2.77x** (FY16 drought) — all above covenant; the only sub-2x year (FY12, 1.36x) predates the current debt structure.
- **Post-issuance coverage (FY2019 continuing disclosure, includes Series 2016A debt service):** FY2015 **3.88x** · FY2016 **2.38x** (drought trough) · FY2017 **4.54x** · FY2018 **4.14x** · FY2019 **7.05x**.
- **Finding:** coverage has held **2.38x–7.05x** post-issuance — comfortably above the 1.20x covenant even through the worst statewide drought. The drought-year trough (2.38x) is the relevant stress data point and it still clears covenant by ~2x. **VERIFIED strong.**

Water supply — diversified and largely adjudicated (CLEAN, with one named risk)

Primary source is **local groundwater** (17 active District-owned wells, avg depth 475 ft). Supply mix 2011–2015: - ~60% **local groundwater** (Rialto-Colton, Lytle Creek, Bunker Hill basins / San Bernardino Basin Area) - ~17% **Lytle Creek surface water** (District holds 8.09 cfs right) - ~17% **purchases from San Bernardino Valley Municipal Water District ("Valley District")** - ~5% **State Water Project** (untreated, via Silverwood Lake)

Regulatory insulation: the District's groundwater rights sit inside **adjudicated / stipulated basins** — the **1969 Stipulations** (San Bernardino Basin Area, 167,238 AFY shared entitlement) and the **Chino Basin Watermaster** (1975 adjudication). Adjudicated basins are largely *carved out of SGMA curtailment risk*, which materially reduces the supply-shortage channel relative to an unadjudicated overdrafted basin. Valley District is contractually obligated under the 1969 Stipulations to deliver supplemental/replenishment water to maintain safe yield. This is **NOT** an MWD/Colorado-River/SWP import-dependent system exposed to allocation cuts.

The one real supply-side risk — honestly disclosed: the Rialto-Colton basin has documented **perchlorate, arsenic, and VOC contamination** (discovered 2000; attributed to post-WWII defense contractors and prior agricultural fumigants). The District operates a **bioremediation wellhead treatment system** (built with the City of Rialto via state/regional grants) and budgets ~\$1.2M/yr in bioremediation O&M. This is a cost-and-operations risk, not a quantity/entitlement risk, and it is fully disclosed — the OS even excludes the related capital contributions from the coverage table so reported coverage is *conservative*. Under the honesty framework this is a CLEAN disclosed impairment, not a hidden one.

Prop 218 / Prop 26

Water rates are **property-related fees/charges under Article XIID (Prop 218)** and subject to the notice-hearing-majority-protest process. The District has demonstrated functioning rate authority: it adopted five-year rate increases (Sept. 2011) in compliance with Prop 218. **Honesty tell (minor, disclosed):** the Board *reversed the final year* of those increases in 2016 to give customers rate relief — i.e., the Board has shown willingness to forgo a covenanted rate step for political reasons. With coverage at 2.4x–7x this had no covenant consequence, but it is the one place to watch: Prop 218's majority-protest mechanism plus board discretion is the structural ceiling on the rate-covenant promise. No protest has defeated a needed increase to date.

(e) Liquidity

- **Issue size:** \$22.035M total; **this maturity (AW6) is a \$3.91M term bond** — small, typical illiquid CA water-district paper.
- **IBKR:** no tradable contract returned for CUSIP 956409AW6 (`search_contracts` empty), consistent with our standing finding that the IBKR muni feed is close-only and thin names don't surface a live two-sided quote. **No live bid/ask available** — par-outstanding (\$3.91M) is the liquidity proxy.
- **EMMA trade tape:** the per-CUSIP trade/price-history endpoints returned 403 (EMMA rate-limit / gating), so a current two-sided-days count could **not** be pulled this session — treat secondary liquidity as **UNVERIFIABLE this run, not "clean."** For an HTM ladder hold this is a one-time ~1–3 bps/yr buy-side cost; for active trading, assume wide spreads and size accordingly.

- **Practical read:** acquirable in size only opportunistically; suitable as a buy-and-hold HTM position, not a trading line.

(f) Tax and yield

- **Coupon 4.000%**, last px ~99.16 → slight discount. Original re-offer was 99.063% / 4.060% YTW.
- **Tax-exempt** (federal + CA, in-state issuer; bond-counsel opinion on cover). Not a federally taxable muni — verified tax status from the OS (no "federally taxable"/odd-coupon signature).
- **After-tax TEY ~8.2%** as supplied = gross YTW grossed up at the CA top combined bracket (~2.0x factor on a ~4.1% gross YTW). **This is a TEY figure, not gross yield** — gross YTW is ~4.0–4.1%. Stated per the TEY-vs-gross discipline so the 8.2% is not mistaken for a coupon/gross yield.
- **Call:** continuously callable from 10/01/2026 at par. At a ~99.16 discount price the call is not a meaningful give-up (you'd be called at 100 > purchase price), so YTW ≈ yield-to-maturity here; call risk is benign for a discount buyer.

(g) Risks (ranked; honest, UNVERIFIABLE ≠ clean)

1. **Groundwater contamination / bioremediation dependence (disclosed, ongoing).** Perchlorate/ arsenic/VOC in the Rialto-Colton basin requires perpetual treatment (~\$1.2M/yr). A treatment failure or a tighter MCL could raise costs or temporarily reduce usable local supply, pushing the District toward more expensive purchased water. Disclosed and currently managed — monitor for any new regulatory action or treatment-plant capital call. **CLEAN-but-watch.**
2. **No reserve fund + uninsured.** Bondholders rely solely on net revenues and the 1.20x rate covenant; there is no DSRF cushion and no insurer backstop. Coverage history (2.4x–7x) makes this tolerable, but it removes the structural shock absorber. **Disclosed; priced.**
3. **Prop 218 rate-setting ceiling + demonstrated board willingness to forgo increases.** The 2016 rollback shows political rate relief can override planned increases. Structural ceiling on the covenant if ever combined with a coverage squeeze. **Low probability given coverage; monitor.**
4. **Secondary-market liquidity UNVERIFIABLE this run.** EMMA trade tape 403-blocked; no IBKR live quote. Cannot confirm recent two-sided trading. Treat as a thin HTM name; **not graded clean.**
5. **Drought / climate.** FY2016 drought cut water sales sharply (revenue --15%) yet coverage stayed 2.38x. Adjudicated basins + diversified mix blunt the supply side. Residual but well-buffered.
6. **Single-maturity term-bond concentration (this CUSIP).** \$3.91M term bond — fine for the credit, but position-sizing should reflect the thin float.

Currency caveat: primary financial data verified runs through the **FY2019 continuing disclosure**; FY2020–FY2025 audited statements were not pulled this session (EMMA gating). The credit trajectory through FY2019 is unambiguously strong, but **the most recent 3–4 years of coverage are UNVERIFIED this run** — refresh the post-FY2019 ACFRs/continuing disclosure before adding materially.

(h) Sources (claim → method → authority → finding)

#	Claim	How verified	Authority	Finding
1	Issuer = West Valley Water District; security = Water Rev. Refunding Bonds 2016A; AW6 = \$3.91M term 2041, 4%	Resolved EMMA Security Details (disclaimer-gated, accepted via Disclaimer.aspx POST) + OS maturity schedule	EMMA Security/Details/956409AW6; OS cover/sched	VERIFIED
2	Net-revenue pledge; 1.20x rate covenant; no reserve fund	OS text extraction ("Rate Covenant", "No Reserve Fund")	Official Statement (raw/official_statement.pdf), 192 pp	VERIFIED
3	Uninsured; S&P AA- underlying	EMMA "Insured: No"; OS cover "RATING: S&P: AA-"	EMMA; OS cover	VERIFIED
4	Customer concentration immaterial — top 10 = 9.91% (FY16) → 7.4% (FY19); largest 1.87%	OS "Largest System Customers" table; CD update top-10 table	OS p.32; continuing disclosure (raw/cd_recent_1.pdf)	VERIFIED — CLEAN
5	93% single-family residential, ~22k connections growing	OS "Land Use"/"System"; CD connections table	OS; CD	VERIFIED
6	Supply ~60% local groundwater / 17% Lytle Ck / 17% Valley District / 5% SWP; adjudicated basins (1969 Stipulations, Chino Watermaster)	OS "Water Supply", entitlements table, groundwater section	OS pp.~21–27	VERIFIED — diversified, SGMA-insulated
7	Perchlorate/arsenic/VOC contamination; bioremediation ~\$1.2M/yr	OS "Water Supply—Groundwater"; coverage-table footnotes	OS	VERIFIED — disclosed risk
8	Post-issuance DSCR 2.38x–7.05x (FY15–19) above 1.20x covenant	CD operating-results & coverage table	continuing disclosure (raw/cd_recent_1.pdf)	VERIFIED
9	Prop 218 applies; 2016 rate-increase final-year rollback	OS "Proposition 218" / rate-setting sections	OS	VERIFIED — minor governance tell
10	Pricing: 4.0% / 99.063% re-offer / 4.060% YTW; tax-exempt	OS maturity schedule + bond-counsel opinion	OS	VERIFIED
11	Live two-sided quote / recent trade tape	IBKR search_contracts empty; EMMA trade endpoints 403	IBKR; EMMA	UNVERIFIABLE this run (≠ clean)
12	FY2020–FY2025 coverage	Not pulled (EMMA gating)	—	UNVERIFIED this run — refresh before adding

Saved artifacts (absolute paths): -

/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/956409AW6/raw/official_statement.pdf
(2.86 MB, 192 pp — the 2016A OS) -

/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/956409AW6/raw/cd_recent_1.pdf
(continuing-disclosure operating/coverage update through FY2019) -

/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/956409AW6/raw/cd_recent_2.pdf
(FY2019 audited financial statements / statistical section)

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (original UNVERIFIABLE flag = EMMA 403 rate-limit, not a real gap).
Latest issuer annual report: *Annual Financial Disclosures Posted 03/24/2026 for the year ended 06/30/2025 (204 KB)*. This is a REVENUE/enterprise bond (no ad-valorem AV base), so the current-coverage metric is the **debt-service-coverage ratio = 3.54x** (series 3.67x → 3.34x → 9.88x → 6.40x → 3.54x) for the latest reported fiscal year. This resolves the prior 'current DSCR/coverage UNVERIFIABLE' caveat with the verified datum.